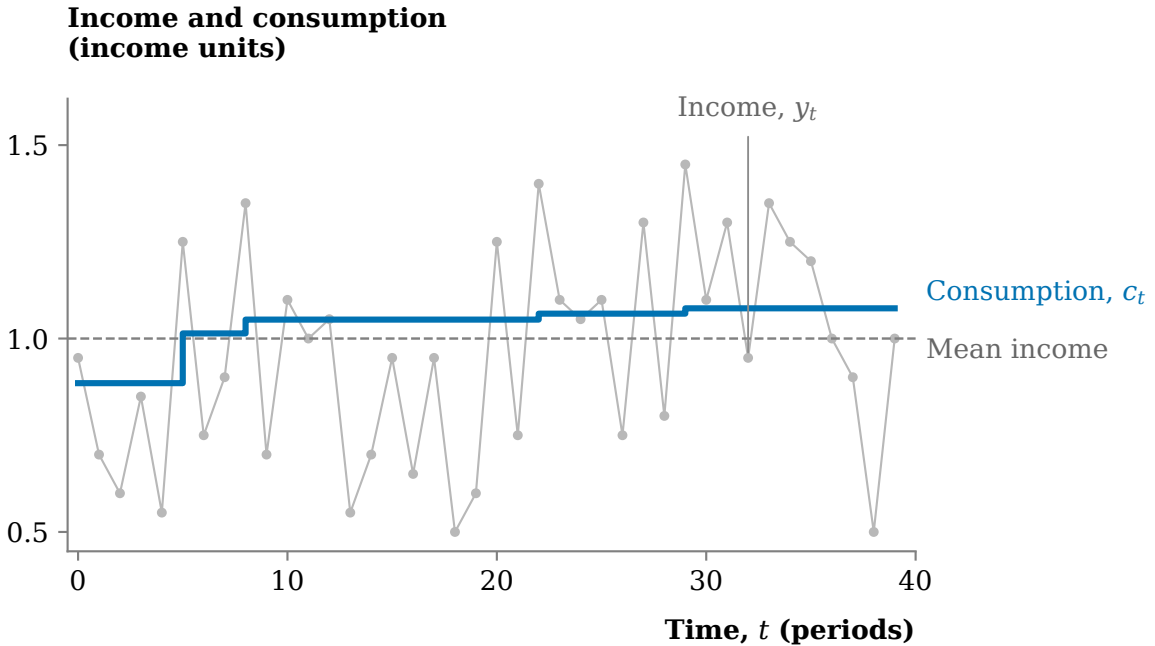
Income and consumption
(income units)
Income, $y_t$
Consumption, $c_t$
Mean income
1.5
1.0
0.5
0
10
20
30
40
Time, $t$ (periods)